As a mutual fund investor, your money is pooled with that of other people who are investing in the same fund. The fund manager, now with lots of buying power since the money is all pooled together, then buys and sells the securities and actively manages the holdings.

As a mutual fund investor, you buy shares (also known as units) of the fund, based on the amount of money you are investing. You are also able to buy fractions of shares if the money you invest doesn't divide exactly into the share value or if you are investing small amounts of money. Mutual funds are open-ended, so when you invest, you buy shares directly from the fund itself, and when you wish to sell, you sell directly back to the fund. This makes for a fairly liquid investment, as you don't have to find a buyer in order to sell (or vice versa).

Mutual funds are valued daily (and in some rare cases like real estate, semi-monthly or monthly). The daily value (known as the net asset value) is calculated as a function of the current market value of the holdings divided by the number of shares outstanding.

PERFORMANCE

Performance of a mutual fund depends entirely on two factors:

1. What the fund invests in.
2. The competence of the fund manager.

A fund that invests in small cap stocks will perform quite differently from one that invests in bonds, and differently again from a short-term money market fund. Likewise the competency of the fund manager comes into play and can drastically affect the returns. The fund managers do, however, have many incentives to perform, as they can lose their job if they underperform compared to other funds of similar mandates.

MAKING MONEY WITH MUTUAL FUNDS

Assuming your mutual fund is a winner and is making money, the fund manager passes the capital gains/dividends/interest earned by the holdings on to us, the shareholders. Thus, at the end of the year, you must report the income when you file your taxes.

I will also note that in most cases, people reinvest the income in the fund, which is a great case for compound growth and passive money management. You are still required to report the income on your taxes each year, though, even if it is reinvested.